IN THE NATIONAL COMPANY LAW TRIBUNAL,
DIVISION BENCH - I, CHENNAI

CP/217 & 218/CAA/2020
In
CA/92 & 93/CAA/2020

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

M/s. SRI RANGANATHAR VALVES AND CONTROL PRIVATE LIMITED

... Petitioner / Transferor Company

With

M/s. SRI RANGANATHAR INDUSTRIES PRIVATE LIMITED

... Petitioner / Transferee Company

And

Their Respective Shareholders and Creditors

Order Pronounced on 17th August 2020

CORAM

R. VARADHARAJAN, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s)	:	*S. Sathiyanarayanan, Advocate*
For OL	:	*B. Palani, Authorized Representative*
For RD	:	*None present*
For Income Tax	:	*None present*

COMMON ORDER

Per: **R. VARADHARAJAN, MEMBER (JUDICIAL)**

1. The present Company Petitions have been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation, (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. M/s. **Sri Ranganathar Valves and Control Private Limited** *(hereinafter referred to as "Transferor Company")* and **M/s. Sri Ranganathar Industries Private Limited** *(hereinafter referred to as "Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also commonly annexed as Annexure A3 to the typed set filed along with the Petition.

2. From the records, it is seen that in the First Motion Application filed before this Tribunal vide CA/92& 93/CAA/2020 wherein the Transferor and Transferee Companies have sought for dispensation of the meeting of the Equity Shareholders, Secured and Unsecured Creditors. Based on such application moved under Sections 230-232 of the Companies Act, 2013, this

Tribunal vide its order dated 04.03.2020 dispensed with the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Transferor and Transferee Company. Under these circumstances, the Petitioner Companies have filed these petitions for sanction of the 'Scheme' before this Tribunal, consequent to the order of dispensation of the meeting in respect of the Petitioner Companies.

3. In the second motion application filed before this Tribunal on 10.03.2020, this Tribunal vide order dated 11.06.2020 ordered notice in relation to the Statutory / Regulatory Authorities as well as for paper publication in "Business Standard" (Tamil Nadu Edition) in English and "Daily Thanthi" (Tamil Nadu Edition) in Tamil and pursuant to the same notices have been served to the Regional Director, RoC, Chennai, Official Liquidator, the Income Tax Department and to such other regulatory authorities to whom notices are required to be given by the Petitioner Companies .

4. It is seen from the records that the Petitioner Companies have filed an affidavit of service on 14.07.2020 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner

Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Standard" (Tamil Nadu Edition) in English and "Daily Thanthi" (Tamil Nadu Edition) in Tamil on 25.06.2020. Further notices have been also served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies, Coimbatore (iii) Assessing Officer, Income Tax Department ACCIT, Central Circle – 1, Coimbatore (iv) Official Liquidator, Chennai in compliance with the directions passed by this Tribunal and in proof of the same acknowledgements/receipts have also been enclosed.

5. The Regional Director, (for brevity 'RD') Chennai to whom the notice was issued has filed his Report eventhough not represented before this Tribunal on 31.07.2020 and has stated that Clause 10 of Part C of the Scheme provide for protection of the interest of the permanent employees of the Transferor Company. It was also stated that as per the report of Registrar of Companies, Coimbatore, both the Petitioner Companies are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies. However RD in para 9 of his Affidavit has made the following observation;

"It is submitted that clause 12 of Part C of the Scheme has stated that the authorized capital of the Transferor Company will be merged with the authorized capital of the Transferee Company. The Transferee Company may be directed to file the amended MOA and AOA with the RoC, Coimbatore for its records. In the said clause of the Scheme the Companies have stated that the Transferee Company would not be required to pay any fee or stamp duty for the increase in the Authorized capital. This is contrary to the provisions of clause (i) to sub – section (3) of Section 232 of the Companies Act, 2013, which mandates the Transferee company to pay the fees, if any, for the enhanced authorized capital subsequent to the amalgamation after setting off the fees paid by the Transferor Company. In the light of the above, the transferee company may be directed to comply with the above provisions of the Act by making an application with RoC, Coimbatore for payment of the balance fee as applicable under the provisions of the Act and rules framed thereunder."

6. Thus, the RD after examining the Scheme, except for the above observations, has decided not to make any objection to the Scheme. In reply to the said observation made by the RD, the Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to Clause 5.2 of the Scheme and stated that upon increase of the authorized share capital, the Transferee Company will satisfy the obligations if required under the provisions of the Scheme, which includes the payment of the

fee or stamp duty for the increased authorized capital. Thus, taking into consideration the submission made by the Learned Counsel for the petitioner, we direct the Transferee Company to pay the aforesaid fee, if any, pursuant to amalgamation and subject to the approval of the Scheme by this Tribunal.

7. The Official Liquidator has filed his report on 06.08.2020, and has stated in para 4 and 5 that the affairs of the Transferor Company were not conducted in a manner prejudicial to the interest of its members, or creditors or to the public, as per the provisions of the Companies Act, 1956/ Companies Act 2013, whichever is applicable.

8. The Chartered Accountant appointed by the Official Liquidator it is stated that verified the books of accounts of the Transferor Company and has observed as follows;

- The Chartered Accountant made an inspection in MCA portal on 01.08.2020 records available with the company and prima facie nothing adverse or objectionable issues affecting the interest of the company or its members is noticed.
- As per the audit report, the Company has not defaulted in repayment of dues to financial institution, banks, etc. If any things arise, the Transferee Company has to bear.

- Sales Tax, GST, Excise Duty, Service Tax, Customs Duty, etc and have if any been, transferee Company have to accept the liabilities.

- The Companies have paid their statutory dues as stated in their audited financial statement as on 30.09.2019. The same has also confirmed by their auditors M/s. Bakthavachalam & Co., Coimbatore through their certificate.

- The Transferor Company has maintained proper books of account as per the requirement of Companies Act, 2013 and in accordance with the normally accepted accounting principles.

- On the basis of details available from the Company, there is no undisputed dues in respect of Provident Fund, Investor Education Fund, Employees State Insurance, Income Tax, Sale Tax, Wealth Tax, Customs Duty, Excise Duty, CASs and other materials statutory dues applicable to the Transferor Company.

9. From the above observations made by the Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remunerations payable to the Auditor who has investigated into the affairs of the Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of Rs.30,000/- to the Official Liquidator for the

payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

10. Despite notice being served, there is no representation from the Department of Income Tax, and in the circumstances, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

11. The Petitioner Companies have filed the certificate of the Independent Statutory Auditor in relation to compliance with the Accounting Standards with respect to the Scheme. Thus, the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) of the Companies Act, 2013.

12. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at*

the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

13. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings are pending against the petitioner companies under Section 235 to 251 of the Companies Act, 2013 or under relevant provision of the Companies Act, 1956.

14. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal, sanctions the Composite Scheme of Arrangement, annexed as Annexure "A3" with the Company Petitions as well as the prayer made therein.

15. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or

regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

16. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, right and interest of the Transferor Company shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the

same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(iv) That the Appointed date for the Scheme shall be **1st October 2019** as specified in the Scheme itself in terms of Section 232 (6) of the Companies Act, 2013.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 5.1 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the

Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

17. Accordingly, the Company Petitions stand **allowed** on the aforementioned terms.

-SD-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-SD-
(R.VARADHARAJAN)
MEMBER (JUDICIAL)

Raymond